

LEADERS: THEIR ROLE AND POWER

EXERCISE: COVID POLICIES



During the COVID pandemic, some countries relied heavily on **mandates** and **penalties** while others relied on **voluntary compliance** or **minimal coercion**

EXERCISE: COVID VACCINE MANDATES

Denmark

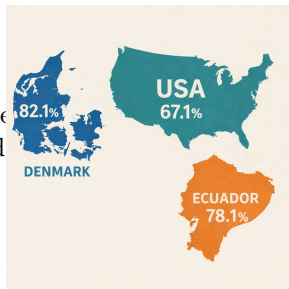
- ▶ No vaccine mandate, just recommendation
- ▶ As of September 2022, the government no longer recommends universal COVID vaccination

USA

- ▶ The federal government and various state governments introduced vaccination mandates
- ▶ Official recommendation: all who can should be vaccinated

Ecuador

- ▶ Federal vaccine mandate
- ▶ Access to public spaces required proof of vaccination



^aMost were for selected groups, e.g., federal or healthcare workers, companies over 100, and many were blocked by judiciary.

QUESTIONS

1. What problem did these governments try to solve?
 - ▶ Think about API
2. How did governments exercise their power?
3. What may explain the variation in these approaches?
4. Are some approaches better than others? For whom?
5. Could it be a good idea for the US or Ecuador to adopt Denmark's approach?

TOPICS FOR THIS WEEK

Leaders help solve societal problems

To do so, they need **power**

Power can come from

- ▶ **Coercive power**
- ▶ **Legitimacy**

Coercive power creates risks of abuse

- ▶ Leaders should cultivate legitimacy
- ▶ Groups face trade-off between having ineffective leaders (constraining their coercive power) and having the power turned against them (endowing them with strong coercive power)

OUTLINE

WHY DO WE HAVE LEADERS AND HOW THEY EXERCISE
POWER?

FORCE AND COERCION

LEGITIMACY

HOW MUCH POWER SHOULD LEADERS HAVE?

CONCLUSIONS

WHY DO WE HAVE LEADERS?

Leaders help groups achieve their goals

In particular:

- ▶ Leaders can solve **collective action** problems (**coordination** and **externality**) (AP1)
- ▶ Leaders can enforce choices made by groups with **diverse** preferences (AP1)
- ▶ Delegation to leaders economizes on attention, time, and expertise
- ▶ Leaders oversee **implementations** of policies

Solving these (especially the first two) problems requires **powerful** leaders

HOW DO LEADERS ACHIEVE THEIR GOALS?

Power: the capacity or ability to direct or influence the behavior of others

Leaders exercise power mainly through

- ▶ Force and coercion
- ▶ Legitimacy

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COLLECTIVE ACTION PROBLEMS

Recall public goods game from AP1:

		Person B	
		<i>Contribute</i>	<i>Don't</i>
Person A	<i>Contribute</i>	1, 1	-1, 2
	<i>Don't</i>	2, -1	0, 0

What is likely to happen?

SUPPOSE LEADER HAS COERCIVE POWER TO
PUNISH FREE RIDERS $\tau > 1$

		Person B	
		<i>Contribute</i>	<i>Don't</i>
Person A	<i>Contribute</i>	1, 1	$-1, 2 - \tau$
	<i>Don't</i>	$2 - \tau, -1$	$0 - \tau, 0 - \tau$

Coercive power creates incentives for people to change behavior

In equilibrium, the leader does not need to punish (frequently)
but to achieve good outcome, people need to expect punishment
for free riding

COVID MANDATES AS POWER THROUGH FORCE

Vaccine mandate involves negative consequences for disobeying

- ▶ E.g., no access to restaurants, schools

Citizens weigh the desire to disobey with the consequences

If the latter is larger: obey the mandate

WHAT IS COERCIVE POWER?

Coercive power comes from

- ▶ Police and army
- ▶ Judiciary
- ▶ Surveillance
- ▶ Good record keeping
- ▶ Efficient bureaucracy

More coercive power $\implies$ better ability to solve group's problems

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POWER THROUGH LEGITIMACY



In Denmark, citizens **voluntarily** followed vaccination recommendations

Voluntary obedience is arguably more desirable than obedience by coercion

- ▶ Doesn't require coercion apparatus

Voluntary obedience may arise when leader is **legitimate**

WHAT IS LEGITIMACY?

Legitimacy is an idea that a leader has the right to rule

When citizens believe the leader is legitimate, they are

- ▶ Less likely to revolt
- ▶ More likely to follow leader's decisions

Normative question: When **should** the citizens obey a leader?

Positive question: When **do** citizens obey a leader?

- ▶ Where does legitimacy come from?
- ▶ How do we cultivate it?

NORMATIVE VIEWS OF LEGITIMACY

Leader is legitimate if she or her decisions are **just or moral**
(Aristotle, Aquinas)

- ▶ What is just or moral?
- ▶ If people agree on that, why do they need leaders?

Leader is legitimate if governed would (in principle) **consent** to that authority (Hobbes, Locke, Rousseau)

- ▶ Hobbes argues society would consent to any leader providing basic security
- ▶ Locke argues society would consent only to leaders who are constrained to follow certain rules and provide good outcomes

POSITIVE VIEWS OF LEGITIMACY

When are leaders viewed as legitimate by society?

Weber:

- ▶ Legitimacy is a **socially constructed belief**
- ▶ Leaders are legitimate if people believe they are legitimate

“the basis of every system of authority, and correspondingly of every kind of willingness to obey, is a belief, a belief by virtue of which persons exercising authority are lent prestige”



Max Weber (1864-1920)
German sociologist

INCENTIVE TO OBEY DRIVEN BY BELIEF THAT OTHERS OBEY

People need not to think the leader is just or deserving of obedience

They still may obey because they expect other's to obey:

- ▶ Obeying legitimate leader may be normatively desirable
- ▶ People expect others to condemn or punish violators
- ▶ People expect others to obey, leaving them more vulnerable to state punishment
 - ▶ Leader may be able to punish only a few people
 - ▶ If most obey, all disobeying may be punished
- ▶ Legitimacy coordinates beliefs to solve coordination traps

LEGITIMACY TRAPS: SOCIETY MAY COORDINATE ON SUBPAR LEADER

Person B

*Support
bad
leader* *Support
good
leader*

Person A

Support bad leader

Support good leader

2, 2	0, 1
1, 0	3, 3

WEBERIAN SOURCES OF LEGITIMACY

Whether a particular leader is perceived as legitimate vary across societies because groups coordinate differently

Weber identifies three main types of legitimate authority

- ▶ **Traditional** Authority: based on customs and longstanding practices—“This is how things have always been” (e.g., monarchies)
- ▶ **Charismatic** Authority: based on the personal qualities and extraordinary characteristics of an individual leader (e.g., revolutionary leaders)
- ▶ **Legal-Rational** Authority: based on formal institutions (e.g., modern bureaucratic states)

OTHER EMPIRICALLY RELEVANT SOURCES OF LEGITIMACY (TYLER 2006)

Legitimacy may arise from **performance (output legitimacy)**

- ▶ Citizens support and obey leaders who deliver good outcomes (peace, growth, security, public services)

Legitimacy may arise from **process (input legitimacy)**

- ▶ Fair processes, elections, transparency, accountability, deliberation
- ▶ “Even if I dislike the outcome, I accept the rule as fair.”

COVID POLICIES AS POWER THROUGH LEGITIMACY

Danish government's recommendations were voluntarily followed

Danish government tried to maintain its legitimacy by

- ▶ Selective recommendation
- ▶ Quick removal of recommendations

Idea: deliver good outcome, do not abuse legitimacy by requiring too much from citizens without regard for evidence behind recommendations

DANISH CASE: EPILOGUE



Mink on a farm in Gjoel, Denmark, last month. *Henning Bagger/Ritzau Scanpix, via Reuters*

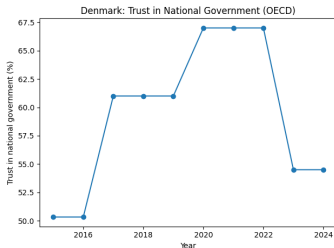


By James Gorman

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The Danish government will slaughter millions of [mink](#) at more than 1,000 farms, citing concerns that a [mutation in the novel coronavirus](#) that has infected the mink could possibly interfere with the effectiveness of a vaccine for humans.

Prime Minister [Mette Frederiksen made the announcement](#) at a news conference on Wednesday. There are 15 million or more mink in [Denmark](#), which is one of the world's major exporters of mink furs. She said the armed forces would be involved in the culling of mink.



Trust in government is measured as the share of people who report having confidence in the national government.

LESSONS FOR LEADERS: HOW TO PURSUE LEGITIMACY?

If legitimacy is a social belief, there is not foolproof way of building legitimacy

Research suggests legitimacy may be shaped by (Tyler 2006):

1. Coming to power via well established pathways (e.g., elections or well established selection rules)
2. Following accepted and fair procedures when making decisions
3. Giving citizens a voice in decision making
4. Performance and competence
5. Lack of abuse of power (e.g. corruption or force)
6. Keeping promises
7. Upholding basic human rights

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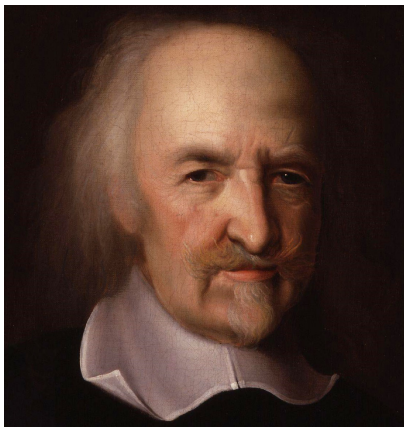
More coercive power $\implies$ better ability to solve group's problems

More coercive power

- ▶ Is expensive
- ▶ Allows leader to pursue **her** own goals

HOW MUCH POWER SHOULD LEADERS HAVE?

THOMAS HOBBES



Thomas Hobbes (1588-1679)

Thomas Hobbes was an English philosopher

Hobbes wrote *Leviathan* on the backdrop of the brutal English Civil War from 1642 to 1651

Hobbes believes society is better off giving unconstrained power to a leader

HOBBS HAS A VERY PESSIMISTIC VIEW OF THE LEADERLESS WORLD (STATE OF NATURE)

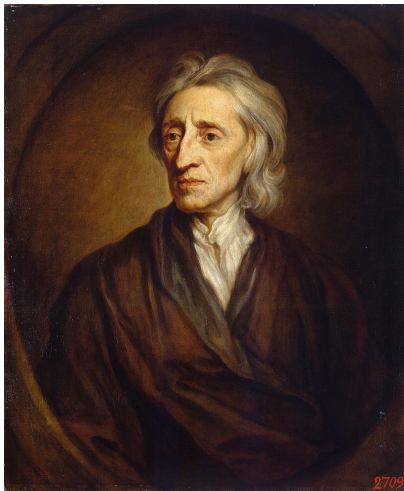
“During the time men live without a common power to keep them all in awe, they are in that condition which is called war; and such a war as is of every man against every man.[...] No arts; no letters; no society; and which is worst of all, continual fear, and danger of violent death; and the life of man, solitary, poor, nasty, brutish, and short”

LEADERS CAN SOLVE PUBLIC GOODS PROBLEMS



I authorise and give up my right of governing myself to this man, or to this assembly of men, on this condition; that thou give up, thy right to him, and authorise all his actions in like manner.

JOHN LOCKE AND THE COMMITMENT PROBLEM



John Locke (1632-1704)

Locke was an English philosopher, known as the father of liberalism

Locke wrote on the backdrop of the Glorious Revolution (1688) which established constitutional monarchy in England

Locke was very concerned with leaders' **abuse of power**

THE COMMITMENT PROBLEM

Once citizens have delegated power to the leader, what prevents the leader from abusing this power?

- ▶ A potential leader wants to promise to act in the group's best interest
- ▶ For that, she needs the group to give her power
- ▶ Once she has power, why would she act in the group's interest?
- ▶ This is a **commitment problem**: a problem resulting from an inability to commit to pursue a particular course of action

“Men are so foolish that they take care to avoid what mischiefs may be done them by polecats or foxes, but are content, nay, think it safety, to be devoured by lions.”

CAN GROUPS TRUST THE LEADER?

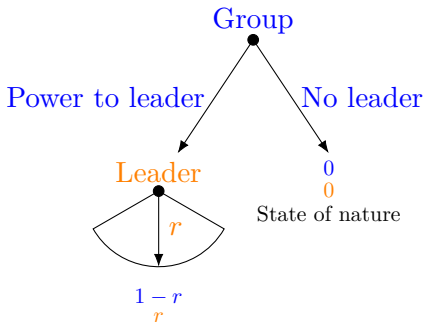
Society faces a choice: live with unsolved problems (state of nature) or endow leader with power

Once in power, leader can use power to transfer benefits r from society to herself

- ▶ Property
- ▶ Labor
- ▶ Freedom
- ▶ Society's preferred choices

Will the leader do so?

What does the society prefer?



COMMITMENT PROBLEM CAN HURT EVERYONE

Jointly, the society and the leader benefit if leader has power

- ▶ Joint payoff is $1 > 0$
- ▶ If $r \in (0, 1)$ then both are strictly better off (Pareto improvement)

But leader cannot commit to not abusing power

Anticipating abuse of power, society may choose the Pareto inferior state of nature

Next few lectures: how do societies solve this commitment problem?

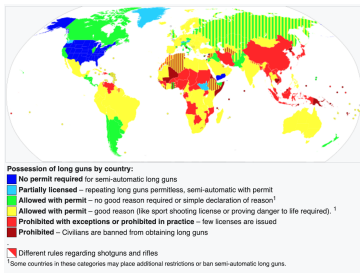
GOING FORWARD...

How should we constrain leaders to minimize abuse of power?

Change the game:

1. Give the group power to **fire** the leader who chooses large r
 - ▶ The fear of being fired may discipline leaders to act in group's interests
2. Give others power to veto the leader's choice of r

EXAMPLE: GUN OWNERSHIP BY CITIZENS



Using the Hobbsian and a Lockean logic, how could one argue in favor and against restrictions on gun ownership by citizens?

The Second Amendment

A well regulated militia being necessary to the security of a free state, the right of the people to keep and bear arms shall not be infringed.

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KEY LESSONS

Leaders help groups achieve their goals

They exercise power by

- ▶ Force and coercion
- ▶ Legitimacy

Important Tradeoff: Force is effective at solving problems but is expensive and leads to commitment problem

Cultivating legitimacy is paramount for leaders